



***AN ANALYSIS OF THE NEW INSOLVENCY AND BANKRUPTCY CODE
2016***

NPA CRISIS



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INTRODUCTION

The World Bank report has ranked India 135 out of 190 countries on the ease of resolving insolvency. The situation in India is worse than even several under developed countries when it comes to insolvency resolution. The Non Performing Assets in Public Sector Banks is about 7.34 lakh crore by the end of December 2017. In the wake of this ongoing crisis the Punjab National Bank Nirav Modi Scam emerged where Modi fled the country with 11,300 crore. The loan was sanctioned on the basis of Letter of Undertakings which have no binding legal value.

In order to bring things in perspective, it took 3.3 years more in order to resolve an India based insolvency as oppose to the United Kingdom. Insolvency processes were burdening the already It was this reason that both the business and the Indian legal fraternity were eagerly looking forward to a complete overhaul of the insolvency resolution process in India. Earlier, India used to have several different legislations along with their own adjudicatory bodies which use to look after the insolvency and bankruptcy resolution India such as The SARFAESI Act, The DRT Act, The SICA, etc. However, the Insolvency and Bankruptcy Code, 2016 (“**Code**”) of India has streamlined and consolidated bankruptcy, insolvency and liquidation laws in India. The code is consolidated with a clear intention to consolidate all the existing laws relating to insolvency and bankruptcy in India.

The Code is a landmark much required enactment by the Legislature that aims to provide a rescue mechanism for corporate debtors and improve the overall health of the economy by reducing systemic losses that arise out of liquidation of the company. By merely requiring a default to occur for the commencement of proceedings under this Act, it forces corporate debtors to take defaults seriously. This goes a long way in reducing the Non- Performing Assets problem that are plaguing the country. However, this is not to suggest that the Code be understood as a debt recovery law. There are several enactments by the Legislature that are designed to help financial institutions recover the money due to them. However, if possible, the purpose the Code is to ensure that the corporate debtor is brought back as a going concern,

A. INSTITUTIONAL FRAMEWORK

The code has envisaged a new institutional framework in order to tackle the corporate insolvency and the increasing menace of non-performing assets. This framework includes:

The Insolvency and Bankruptcy Board of India (IBBI): The board shall act a regulator and will be responsible to regulate and register the professionals and the information utilities envisaged in the Code. In addition to this the board will look after the conduct of insolvency/ bankruptcy resolution processes under the Code in totality by way notifying rules and regulations.¹

- *The Adjudicating Authority (the AA):* The legislature has envisaged a new tribunal to adjudicate the insolvency cases in India. This quasi-judicial body shall be prised over every Corporate Insolvency Resolution Process (“CIRP”) right from the stage of application to the stage of acceptance of resolution plan in case of acceptance or liquidation in case of rejection of the resolution plan.² Under the Code, the National Companies Law Tribunal (NCLT) shall act as the Original Court and the National Companies Law Appellate Tribunal shall be the appellate body.³
- *Insolvency Professionals:* The Code envisages a completely new league of professionals similar to that of Chartered Accountants and Company Secretaries who will be responsible for the CIRP of the company in which they have been appointed as the Insolvency Resolution Professional (“IRP”). These professionals shall collate the information and prepare the information memorandum for the prospective resolutions applicant, step in the shoes of the board of directors during the moratorium and make sure that the entire resolution process envisaged in the Code is finished with 180 (270) days.⁴

B. CORPORATE INSOLVENCY RESOLUTION PROCESS

¹ Insolvency and Bankruptcy Code 2016, §188.

² *Id.*, Section 60,

³ This tribunal will have jurisdiction over all corporate disputes– including, matters such as company liquidation, oppression and mismanagement, insolvency etc.

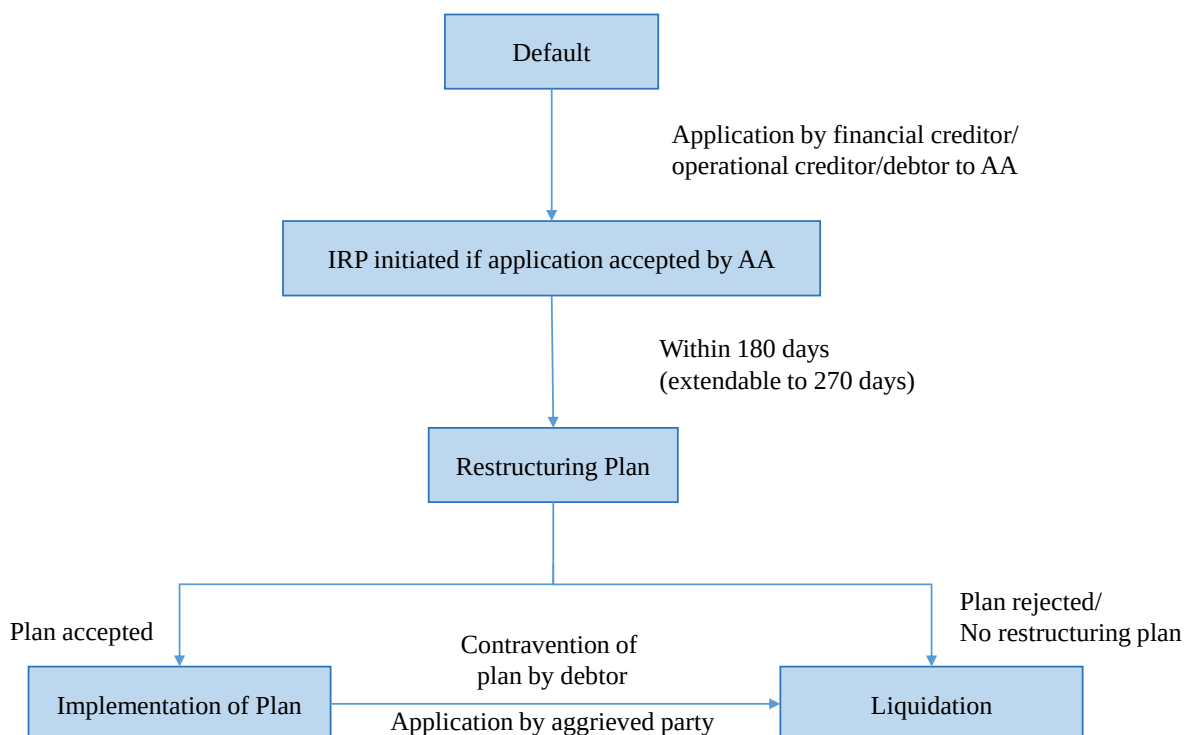
⁴ Insolvency and Bankruptcy Code 2016, Section 3(19), 208, 209.

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The new Code envisages a new procedure for insolvency resolution in which a creditor can trigger the CIRP which shall then have to be resolved in a time bound period else the debtor shall automatically go into liquidation. The different stages of the process include application by a creditor. Commencement of insolvency resolution process, appointment of interim IRP and public announcement, initiation of moratorium period, formation of committee of creditors, making of resolution plan and final acceptance of the resolution plan by NCLT.

For the purposes of the code, a corporate debtor will run the risk of attracting the provisions of this Code in case it defaults on the instalment of any kind of a debt or debts whose cumulative amount is more than a lakh. It also needs to be noted that after the recent amendment in the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporates) Regulation, 2016⁵ any creditor including the one which are neither the financial creditor nor the operational creditor can claim the recovery of their debt under the Code.

a. Process for an IRP



⁵ INSOLVENCY AND BANKRUPTCY BOARD OF INDIA (INSOLVENCY RESOLUTION PROCESS FOR CORPORATE PERSONS) (AMENDMENT) REGULATIONS, 2017, 16 August 2017, available at - http://www.ibbi.gov.in/CIRP_Amendment.pdf (last visited on 20 October 2017).

A detailed process chart for a CIRP is provided above. The key points are as follows:

- Any creditor including any financial creditor (or a group of financial creditors)⁶, or an operational creditor⁷ or a corporate debtor⁸ himself may make an application before NCLT for the initiation of CIRP against the corporate debtor where the total amount of the default is more than INR one lakh.⁹ In addition to that the applicant creditor or the corporate debtor also has to recommend an interim resolution professional who shall be appointed by NCLT right after admitting the application for initiation of CIRP. NCLT upon receiving the application has to either accept or reject the application within 14 days however the deadline of 14 days in this case is only directory and not mandatory.¹⁰
- According to recent judgments NCLT will only have to verify the documents produced in case of a financial creditor and in addition to that whether there is an existing dispute in case of an application by an operation creditor.¹¹ If the application is accepted, then a resolution professional is appointed. He will now be responsible to collate of the claims of all creditors, constitute the Committee of Creditors (**Creditors' Committee**) and formulate an information memorandum which shall be to passed to prospective resolution plan applicant in order to form a resolution plan.¹²
- The Creditors' Committee will incorporate every single money related lender-including, any remote and household loan (secured and unsecured). All choices of the Creditors' Committee will require a super lion's share endorsement of 75% of the monetary banks by estimation of their remarkable obligation, paying little heed to the kind of obligation held (secured or unsecured). These choices incorporate – change of bankruptcy proficient, endorsement of the rebuilding design, the borrower raising any

⁶ Section 7

⁷ Section 9

⁸ Section 10

⁹ Insolvency and Bankruptcy Code 2016, Section 4.

¹⁰ Surendra Trading Company v. Juggilal Kamlapat Jute Mills CO. Ltd. & Ors., available at - http://ibbi.gov.in/webadmin/pdf/order/2017/Oct/19th%20Sept%202017%20in%20the%20matter%20of%20Surendra%20Trading%20Company%20Vs.%20Juggilal%20Kamlapat%20Jute%20Mills%20Co.%20Ltd.%20&%20Ors.%20CA%20No.%208400-2017_2017-10-11%2018:24:37.pdf (last visited on 20 February, 2018).

¹¹ Insolvency and Bankruptcy Code 2016, Section 7(4); Innoventive Industries vs. ICICI Bank, 2017 Supra Note 19.

¹² *Id.*, Section 18.

interval back amid the IRP, change in capital structure of the indebted person, production of any security premiums over the account holder's benefits and so forth.

- The indebtedness proficient is required to present a rebuilding want to the Creditors' Committee for endorsement as quickly as time permits, and from that point the affirmed design should be submitted with the AA inside 180 days from the date of use acknowledgment by the AA (which period might be stretched out by the Creditors' Committee to 270 days) (the IRP Period).¹³

c. Moratorium on Identified Matters:

Right after the public announcement the moratorium period kicks which is imposed right from the date of insolvency commencement date.¹⁴ The Moratorium is similar to a civil injunction it leads to freezing of assets of the company. As per section 14 of the code:

“During this period institution/ continuance of any legal proceedings by or against the debtor (such as petitions for winding up, recovery suits etc.). All existing proceedings against the debtor will be suspended during the moratorium period; any action to foreclose, recover or enforce any security interest created by the debtor on its property – including, any action by financial creditors under SARFAESI; the debtor transferring, encumbering or alienating any of its assets or any legal rights, title or interests therein.”¹⁵

This period expires on the date of either acceptance or rejection of the resolution plan or in case the resolution plan is not applied before NCLT with 180 days, then on the expiry of the 180 days period.

¹³ *Id.*, Section 12(1) & §12(3).

¹⁴ *Id.*, Section 14

¹⁵ *Id.*

S. No.	Step/Process	Timeline Proposed by the Code(Days)
1.	Filing of application for the initiation of an IRP after the commission of default by debtor	No time period specified (X)
2.	AA to either admit or reject the application	X + 14
3.	On the admission of the application, order passed by the AA imposing a stay on legal proceedings by and against the debtor, and public announcement regarding the initiation of the IRP made	X + 14
4.	Communication of order admitting or rejecting the application	(X + 14) + 2
5.	Appointment of interim resolution professional (tenure of interim resolution professional is 30 days)	(X + 14) + 14
6.	Creditors' Committee to be constituted by the interim resolution professional	(X + 14) + 14 + 30
7.	Appointment of final resolution professional by the Creditors' Committee	(X + 14) + 14 + 30

8.	Restructuring plan prepared and presented to the Creditors' Committee for its approval (such plan may be prepared by any person including the applicant, the lenders, the investors etc. on the basis of an information memorandum prepared by the resolution professional. The Code leaves room for the IB Board to decide the criteria applicable to the information memorandum)	
9.	Approval of restructuring plan by the Creditors' Committee	
10.	Submission of restructuring plan to the AA	(X + 14) + 180 [Extendable to (X + 14) + 270]
11.	If the restructuring plan is approved, the stay is lifted by an order of the NCLT. If the restructuring plan is rejected, the debtor goes into liquidation	

C. GREY AREA IN THE CODE

1. Ambiguity with respect necessity of 'default' at the time of application under Section 7 of the Code:

As has already been discussed that in order to initiate CIRP a creditor (financial/operational) has to file an application before AA in case of a default of more than a lakh.¹⁶ In case of a

¹⁶ *Id.*, Section 6

financial creditor, Section 7 of the Code becomes relevant. This section allows a financial creditor either independently or jointly along with other financial creditors to file an application to AA in order to initiate CIRP. However, from the reading of this part of the section it is not clear as to whether the default of the loan given by the applicant financial creditor is required without which an application under section 7 is not maintainable or whether the application by the financial creditor is maintainable even if the corporate debtor has not defaulted on the loan given by the applicant financial creditor.

Before answering this question, the report of the Bankruptcy Law Reform Committee becomes relevant which says:

*“..the essential purpose of the Code is not to serve as the law of payment, but to resolve insolvency. The Code aims to facilitate the assessment of viability of the enterprise at a very early stage.”*¹⁷

It is clear that the committee intended to shift the test of insolvency from the inability to pay to failure to pay. The shift from inability to failure essentially shows that the lawmakers intended to go harsh on the debtor and take timely action which would give more rights to the creditors. Moreover, in *S. Vasudev v. Government of Karnataka & Ors.*¹⁸ the court said that:

“According to the Halsbury’s Laws of England, (Para 8, Volume 3, 4th Edition) the scope and meanings of bankruptcy and insolvency has been termed as “A man has a perfect right, so long as he is solvent, to continue a losing business: but the moment he becomes insolvent he does so at the risk of his creditors.”

Therefore, it is reasonable to conclude that in case of an ambiguity the law will take its course without looking at the debtor’s convenience or rights over assets.

However, in the present scenario we need to look that the literal interpretation of the Code first. The question of whether the corporate debtor has to have defaulted on the loan taken from the applicant financial creditor, the explanation of Section 7 should be noted. The explanation quotes as:

¹⁷ Bankruptcy Law Reform Committee Volume I: Reform and Design, 29, (2015).

¹⁸ *S. Vasudev v. Government of Karnataka & Ors.*, A.I.R. 1999 Kant.74.

*“Explanation - For the purposes of this sub-section, a default includes a default in respect of a financial debt owed **not only** to the applicant financial creditor but to any other financial creditor of the corporate debtor.”*

Section 7 takes into account the principal of **Acceleration**- It needs to be noted that legislature has chosen to use of the word ‘not only’ with respect to the default in the explanation instead of merely saying that the default shall include the default of the other financial creditors as well. Hence, from the reading of the explanation it is clear that a default may include a default from other financial creditors (who may or may not be the applicant financial creditor) **in addition** to the default of the instalment of loan given by applicant financial creditor. Therefore, it is clear that the default which is necessarily need to be shown in the Section 7 application can be in addition to the default of the applicant but it is imperative that the applicant financial creditor under Section 7 of the Code shows that the Corporate Debtor has defaulted on the loan given by the applicant to the corporate debtor.

In addition to that the only distinction that the Code envisages in the application process for CIRP between the financial creditor and an operational credit is the way of ascertainment of the default. Under the Code unlike the financial creditor the operation creditor has to send a notice to the corporate debtor and then file an affidavit showing that there has been no response from the corporate debtor which would refute that it has defaulted on the debt due in addition to other document for the ascertainment of the debt due to the application operational creditor. Apart from this mere procedural formality the Code does not envisages any other distinction and definitely not with respect to whether or not the applicant’s debt needs to be defaulted.

Therefore, as the Code makes sure that in case of initiation of the CIRP the common prerequisite is to show that the corporate debtor has defaulted on the debt due¹⁹ to the application creditor. Hence, there is no reason for us to believe that the Code envisages a possibility where a creditor

¹⁹ Recently the Supreme Court of India in its landmark judgment in *Innoventive Industries v. ICICI Bank CIVIL APPEAL NOs. 8337-8338 OF 2017* (opined that a debt under the Code can be defaulted only once it is due. It quotes:

“30. On the other hand, as we have seen, in the case of a corporate debtor who commits a default of a financial debt, the adjudicating authority has merely to see the records of the information utility or other evidence produced by the financial creditor to satisfy itself that a default has occurred. It is of no matter that the debt is disputed so long as the debt is “due” i.e. payable unless interdicted by some law or has not yet become due in the sense that it is payable at some future date. It is only when this is proved to the satisfaction of the adjudicating authority that the adjudicating authority may reject an application and not otherwise.”

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whose debt has not even been defaulted by the corporate debtor can trigger CIRP under the Code.

However, Pooja Mahajan²⁰ in her article²¹ has opined that the apex court in *Innoventive Industries vs. ICICI Bank*²² has taken a view that would allow any financial creditor to apply under §7 of the Code irrespective of whether the instalment to its debt has been defaulted or not. Yet, the author thinks otherwise, because the apex court nowhere in its judgment dealt with the above question. Ms. Mahajan is probably referring to para 28 of the judgment which says:

“28. When it comes to a financial creditor triggering the process, Section 7 becomes relevant. Under the explanation to Section 7(1), a default is in respect of a financial debt owed to any financial creditor of the corporate debtor – it need not be a debt owed to the applicant financial creditor....”

According to the author the text within the quotes does not clarify the ambiguity as it does not talk about whether the applicant whose instalment has not defaulted can apply under Section 7 of the Code. All this text says is the fact that default may not only include the default from the applicant but also of other financial creditors as well. Which very well be instituted there in order to make sure that in case of a joint application that individual financial creditors may not have an application for a default of over a lakh. The CIRP can be initiated even if the combined value of the default is more than lakh and in such a case this default may not only be of applicant financial creditor.

CONTROL OF THE COMPANY: CHANGING PARADIGMS

Traditionally, control has been understood to be in the hands of the shareholders of the company. Regulators were faced with the challenge of dominant shareholders subjugating the minority shareholders in the exercise of control. However, with the passage of the Insolvency and Bankruptcy Code, 2016 (Code), control is said to shift from the shareholders of the

²⁰ Magazine Editorial Board, INSOL India, available at - <http://www.insolindia.com/governance/magazine-editorial-board/pooja-mahajan> (last visited on 03 October 2017).

²¹ Pooja Mahajan, Finally, Supreme Court on IBC – *Innoventive v. ICICI*, 02 March 2018, Available - <https://barandbench.com/supreme-court-ibc-innoventive-vs-icici/> (last visited on 15 March 2018).

²² IBID Note 19

company into the hands of the creditors. This view has been affirmed by Justice Rohinton Nariman in the Supreme Court's judgment in *ICICI v. Innoventive Industries*²³:

“Control of a company is not an divine right. When a firm defaults on its debt, control of the company should shift to the creditors. In the absence of swift and decisive mechanisms for achieving this, management teams and shareholders retain control after default.”

Although this paradigm shift is unusual, the rationale underlying it is very simple: The company shall temporarily be brought out of the hands of those who are unable to make the business run efficiently. It is for this reason that under Section 7 of the Code, the Adjudicating Authority is required to appoint the Insolvency Resolution Professional (IRP) nominated by the financial creditor. However, it is erroneous to hold that the IRP owes a fiduciary duty to the creditors in the same way that the Board of Directors owe a fiduciary duty to the shareholders of the company. This is because under Section 161 of the Companies Act, 2013, the Board of Directors are required to act in the best interests of the shareholders of the company whereas the RP is merely required to carry out statutory duties entrusted to him under the Code. Although the Code grants the power of appointment and removal of the RP in the hands of the CoC, the ultimate purpose of the RP is to revive the company.

I. BRIEF OVERVIEW OF THE CORPORATE INSOLVENCY RESOLUTION PROCESS

Briefly stated, the CIR Process is triggered on an application by the creditor when a corporate debtor defaults on a debt that is due and payable.²⁴ On admission by the Adjudicatory Authority, a moratorium is declared²⁵ to maintain status quo and an Interim Resolution Professional (IRP) is appointed to take charge of the company.²⁶ In the meantime, the powers of the Board of Directors remain suspended.²⁷ On taking charge, the IRP is required to verify claims received from financial and operational creditors within 30 days and set up a Committee of Creditors (CoC).²⁸

²³ IBID NOTE 19

²⁴ Section 7, The Insolvency and Bankruptcy Code, 2016.

²⁵ *Id*, Section 14.

²⁶ *Id*, Section 16 (3).

²⁷ *Id*, Section 17 (1)(b).

²⁸ *Id*, Section 21 (1).

In its first meeting, the CoC is required to appoint a Resolution Professional (RP) who shall take charge of the company for the rest of the insolvency period.²⁹ The RP is duty bound to manage the operations of the company during this period and carry out certain functions with the approval of the CoC.³⁰ The RP is further required to prepare an information memorandum (IM) which contains details of the company such as the assets and liabilities of the company as on the insolvency commencement date, annual audited financial statements, particulars of debt due from related party transactions and liquidation value of the corporate debtor as on the insolvency commencement date.³¹ A copy of the IM shall be provided to every potential resolution applicant.³² A resolution applicant sends copies of the resolution plan to the RP who is required to present the plan before the CoC. In the event that the resolution plan is approved by financial creditors representing 75% of the total debt value, the insolvency process comes to an end.³³ However, if the CoC fails to approve the resolution plan within the stipulated time frame of 180 days from the date of admission of the CIRP application (extendable by a period of 90 days on application by the RP), the company shall automatically undergo the liquidation process.³⁴

II. CRITICAL ANALYSIS OF RESOLUTION PLANS

1. Excessive control by creditors

Resolution Plans have been defined in Section 5 (26) of the Code as follows:

“resolution plan” means a plan proposed by any person for insolvency resolution of the corporate debtor as a going concern in accordance with Part II”

²⁹ *Id*, Section 23 (2).

³⁰ *Id*, Section 22(2).

³¹ Insolvency and Bankruptcy Board of India (Insolvency resolution Process for Corporate Persons) Regulations, Regulation 36 (2).

³² *Id*, Regulation 36 (1).

³³ *Supra* note 2, Section 32 (3).

³⁴ *Id*, Section 32(2).

Therefore, the language of this provision makes it extremely clear that the purpose of the resolution is to ensure the *recovery* of a corporate debtor. The definition does not provide for the adequate satisfaction of claims of the financial creditor. In other words, merely because the Code provides for a resolution plan to be approved by the CoC does not mean that the Code must be understood to be a debt recovery law. This is a fundamental misconception that Justice Sudhanshu Jyoti Mukhopadhyay attempted to dispel in NCLAT's judgment in *Neelkanth and Construction Private Limited v. Urban Infrastructure Trustees Limited*³⁵ wherein it was held that:

*"Insolvency and Bankruptcy Code, 2016 is not a law for recovery of money claim, it relates to initiation of Corporate Insolvency Resolution Process. (...) Therefore, the argument that the claim of money by the Respondent is barred by limitation cannot be accepted."*³⁶

Furthermore, in *Smart Timing Steel Limited v. National Steel and Agro Industries*³⁷ it was held that:

*"The argument that the foreign companies having no office in India or no account in India with any 'Financial Institution' will suffer in recovering the debt from Corporate Debtor cannot be accepted as apart from the 'I & B Code', there are other provisions of recovery like suit which can be preferred by any person".*³⁸

2. Lack of statutory restrictions

The Code lays down the mandatory contents of the resolution plan.

"Section 30 (2) of the Code states:

2) The resolution professional shall examine each resolution plan received by him to confirm that each resolution plan—
(a) provides for the payment of insolvency resolution process costs in a manner specified by the Board in priority to the repayment of other debts of the corporate debtor;
(b) provides for the repayment of the debts of operational creditors in such manner as may be specified by the Board which shall not be less than the amount to be paid to the

³⁵ Company Appeal (AT) (Insolvency) No. 44 of 2017

³⁶ *Id.*

³⁷ Company Appeal (AT) (Insolvency) No. 28 of 2017

³⁸ *Id.*

operational creditors in the event of a liquidation of the corporate debtor under Section 53;

(c) provides for the management of the affairs of the Corporate debtor after approval of the resolution plan;

(d) the implementation and supervision of the resolution plan;

(e) does not contravene any of the provisions of the law for the time being in force;

(f) conforms to such other requirements as may be specified by the Board”

It is noteworthy that it does not provide for any restrictions to be placed on the scope of the resolution plan. Therefore, in any event, the resolution plan can be so onerous that the shareholders of the corporate debtor are no longer interested in running the enterprise after the filing of the resolution plan. For example, the management of the corporate debtor could be placed in the hands of an external management for a period of 10 years after the resolution plan has been approved by the adjudicating authority. The glaring drawback of this provision is that kills the very purpose for which the Code was enacted in the very first place.

3. Poor Management of the Corporate Debtor

Not only does the RP lack the business expertise to improve the financial health of the company, the resolution plan may be based on the idea of ousting the existing management of the company thereby compromising on quality management practices that have kept the business at the top for many years. Bringing in external management makes the company susceptible to a vast variety of risks that will materialize when the control of the company is returned to the promoters of the corporate debtor. In other words, in the pursuit of claiming as much money as possible from the corporate debtor, the financial creditors may approve a resolution plan proposed by a competitor who promises to fund the loan repayment in exchange for purchasing extremely valuable assets of the company that will lose their value if the company is to undergo liquidation. In this way, the purpose of the Code i.e. to rescue the company shall be defeated and the creditors may resort to the Code as a debt recovery law instead. In order to prevent this from happening, it is recommended that the corporate debtor be granted representation in the CoC meeting where the efficacy of the management of the company is being discussed.

4. Conflict of Code with Companies Act

Section 238 of the Code clearly states that the Code shall over ride every other law for the time being in force. Therefore, it seems clear that where the provisions of the Code and the

Companies Act are in derogation of each other, the Code shall prevail. However, this does not give a satisfactory answer on what were to happen in the event that the Code is silent on a particular aspect where a restriction is placed by the Companies Act.³⁹ An example of this dichotomy has been brought out recently where there are no statutory limits on what can be placed in the resolution plans, however, there are various restrictions on companies in terms of shareholder approvals for carrying out certain corporate functions such as increase in share capital.⁴⁰ The Code does not provide clarity on whether the Resolution Plan can ignore the express provisions of the Companies Act where the Code is silent.

In this regard, the Ministry of Corporate Affairs has provided a clarification in its circular dated 25th October, 2017⁴¹ wherein the Ministry has categorically stated that shareholder approvals required under the Companies Act would not be required while implementing the resolution plan. This, in effect, means that the resolution plan can be worded in such a way that the company dilutes the shareholding of its existing shareholders without their consent.

The Code has been entrusted with the daunting task of rescuing companies within a very short time frame. The author believes that although the clarification by the Ministry of Corporate Affairs will go a long way in bringing clarity on the table regarding the nature and scope of resolution plans, it is still extremely necessary for the Government to pay constant attention to the needs of the Code to ensure that its primary purpose i.e. corporate rescue is preserved. The Code does not specify the consequences for a company that acts in contravention of the resolution plan. This is a glaring void in the law which the NCLT will be required to adjudicate upon in the coming years. However, at this juncture, only a handful of resolution plans have been filed and approved by the NCLT. In order to fill this void, regulators will be required to address concerns raised by the Bankruptcy Law Reforms Committee, 2014. The fact that the law is not as exhaustive as its counterparts in the UK such as the UK Insolvency Act, 1986 and

³⁹ Karthick Maheshwari, Livemint, *Mergers and Acquisitions under Bankruptcy Code: Some Concerns* available at <http://www.livemint.com/Opinion/XhU7eXX6xGATjdpRSUyRIN/Mergers-and-acquisitions-under-Bankruptcy-Code-some-concern.html>. (Last accessed on 31st October, 2017).

⁴⁰ Section 61, Companies Act, 2013.

⁴¹ Government of India, Ministry of Corporate Affairs, “*Clarification regarding approval of resolution plans under Section 30 and 31 of the Insolvency and Bankruptcy Code, 2016*”, General Circular No. IBC/01/2017 dated 25th October, 2017 available at http://ibbi.gov.in/webadmin/pdf/legalframework/2017/Oct/Clarification%20regarding%20resolution%20plan_2017-10-26%2004:08:34.pdf. (Last accessed on 31st October, 2017).

the Chapter 11 proceedings under the US Bankruptcy will also be a challenge that the regulators will face depending on the Adjudicating Authorities' approach to foreign jurisprudence on this matter. In conclusion, the resolution plans are a welcome development as they provide for a mechanism to test whether a company shall be carrying out business in the first place or not. In the event that it is not, the company shall be wound up automatically to reduce the losses of the system. However, in the event that it is in temporary difficulty, the financial creditors can agree to undergo haircuts on the total amount payable to them.

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